

ECONOMY

LECTURES



INFLATION

MODULE - 15



INFLATION ... A PARADOX



0% to 2%



4% to 6%

- 1 This is the rise in the general price level over a period of time.
- 2 It is common problem for the developing countries with high growth rates.
- 3 Tackling high inflation is the problem faced by developing countries and not having proper inflation is the problem faced by some developed countries.

3 If inflation is too high, then it leads to loss of value of currencies.

4 If the aggregate supply of goods is not up to the demand, then inflation may take place.

TWO WAYS OF MEASURING INFLATION

WHOLESALE PRICE INDEX



- It is at the wholesale level.
- The base year is 2011-12
- Released by the Office of the Economic Adviser
- Indirect taxes are not included

CORE INFLATION

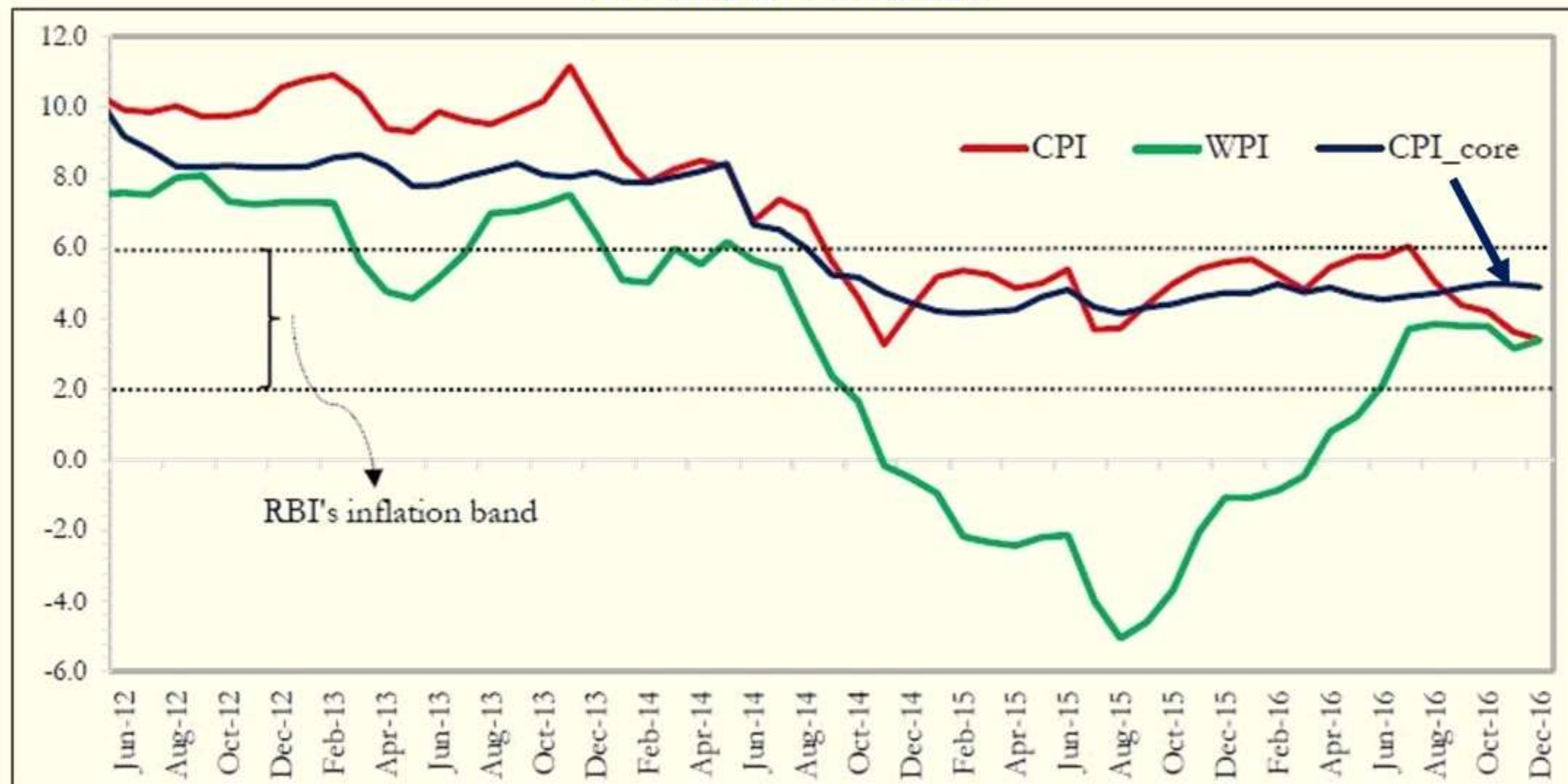
If we subtract the volatile price rise in fuel and food, then it is known as Core Inflation.

CONSUMER PRICE INDEX



- It tracks prices at retail level / consumer level
- Released by the Central Statistics Office
- Base year is 2011-12
- Food and Beverages has got more weightage

WPI and CPI Inflation



Source: CSO

INFLATION



INFLATION



DEFLATION

INFLATION

“ It is the sustained increase in the **general level of prices for goods and services**. It is measured with reference to the **period one year ago**”.

Opposite of Inflation is Deflation.

IT CAN BE DUE TO

1. **Demand Pull Factors**
2. **Cost Push Factors**

1. BASED ON % INCREASE

TYPES OF INFLATION

TYPES OF INFLATION	INFLATION IN %
CREEPING INFLATION	1% - 3%
WALKING INFLATION	4% - 10%
RUNNING INFLATION	11% - 20%
GALLOPING INFLATION	21% - 50%
HYPER INFLATION	> 50% (Sometimes, much higher than this)



NOTE : These percentages are not sacrosanct and vary from source to source

2. BASED ON FACTORS

TYPES OF INFLATION

1 COST PUSH INFLATION

- When the rise in prices is due to higher costs of production

SUPPLY SIDE

STRUCTURAL



2 DEMAND PULL INFLATION

- It arises when there is an excess of demand for goods over their supply
- When there is more and more money in circulation, it may give rise to demand and hence it leads to demand-pull inflation



TYPES OF INFLATION

CAUSES OF COST PUSH INFLATION

1

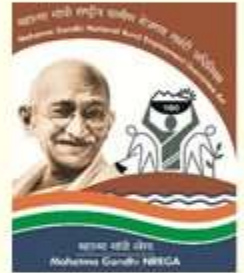
SUPPLY SIDE PROBLEMS

1 When there is scarcity of raw materials, it may lead to higher costs and may result in cost push inflation.



2

When there is scarcity of labour, then the costs of production may increase, because of higher labour costs.



1

SUPPLY SIDE PROBLEMS

TYPES OF INFLATION

CAUSES OF COST PUSH INFLATION

3

The Government's policy of Minimum Support Price for agricultural produce will also have contribution to inflation, but the other side is even with MSP, farmers are not able to come out of distress.



Commission for Agricultural Costs & Prices
Ministry of Agriculture & Farmers Welfare, Government of India



4

Increase in indirect taxes like sales tax, excise duty, VAT may result in higher prices and hence cost push inflation occurs.



1

SUPPLY SIDE PROBLEMS

TYPES OF INFLATION

CAUSES OF COST PUSH INFLATION

5

70-80 percent of our crude oil needs are met through imports and **when there is rise in crude oil prices**, then inflation bound to take place in our country. Similarly for other essential products like **oil seeds and pulses**, cost push inflation can occur, when the international prices rise.



1

SUPPLY SIDE PROBLEMS

TYPES OF INFLATION

CAUSES OF COST PUSH INFLATION

6

Since Independence, though we followed mixed economy, but we gave prominence to the public sector and to control losses of public sector, government kept high prices for the products, which are exclusively produced in the public sector and this is another reason for cost push inflation.

However, after the New Economic Policy of 1991, this point may not have much significance. However, the inefficiency of defence PSUs might have contributed to the high cost of defence products.



1

SUPPLY SIDE PROBLEMS

TYPES OF INFLATION

CAUSES OF COST PUSH INFLATION

7

Uncontrolled migration to urban areas is resulting into too much pressure on the resources and because of which, the prices of land and buildings is skyrocketing in urban areas.



TYPES OF INFLATION

2

**STRUCTURAL
FACTORS**

CAUSES OF COST PUSH INFLATION

1

**POOR QUALITY OF
EDUCATION IN GOVT.
SCHOOLS**



2

**POOR QUALITY OF HEALTH
INFRASTRUCTURE IN GOVT.
HOSPITALS**



2

STRUCTURAL FACTORS

TYPES OF INFLATION

CAUSES OF COST PUSH INFLATION

3

CORRUPTION AND LETHARGY IN GOVT. SECTOR



4

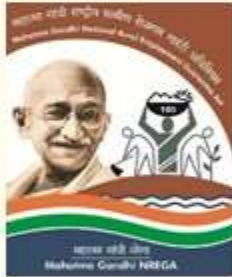
POOR ECONOMIC INFRASTRUCTURE



TYPES OF INFLATION

CAUSES OF DEMAND PULL INFLATION

- 1 When government increases public expenditure, it will create demand and leads to demand pull inflation.



TYPES OF INFLATION

CAUSES OF DEMAND PULL INFLATION

- 2 When the salaries of Public Sector Enterprise employees / Government employees raise, it may lead to more demand and demand pull inflation may occur. Recent implementation of Pay Commission recommendations as well as OROP are examples.



TYPES OF INFLATION

CAUSES OF DEMAND PULL INFLATION

3 When Government resorts to more and more deficit financing by borrowing money from the market, such as banks or financial institutions, **money supply will be increased in the economy**, which may result in demand pull inflation.



4 When the Reserve Bank of India resort to credit expansion through its expansionary monetary policy, it **results in more and more money in circulation** which ultimately leads to demand pull inflation.



TYPES OF INFLATION

CAUSES OF DEMAND PULL INFLATION

- 5 There is a huge stock of unaccounted black money in our country and this raises the demand and leads to inflation.



- 6 Population growth is another reason, that too more and more young population results in more consumption expenditure, which ultimately results in demand for goods and hence demand pull inflation occurs.





INFLATION ... ITS CONSEQUENCES



1 People below poverty line will be the worst affected because of three reasons.

- Their wages are not indexed.
- Most of them are in informal jobs
- Indirect taxes effect poor and rich alike but, in times of inflation they may not bear the burden.



2 As more than 90% of people are working in informal jobs, inflation puts a heavy burden on these employees, as the salaries are not indexed to inflation.





INFLATION ... ITS CONSEQUENCES



- 3 Because of inflation, exportable goods may become non-competitive in the international market.

- 4 Inflation causes inequality in the distribution of income and wealth and it is observed that during periods of inflation profits tend to rise faster than wages.





INFLATION ... ITS CONSEQUENCES



- 5 Inflation promotes speculative activities in the economy and traders make speculative investments to earn profits.



- 6 Inflation threatens the flow of Foreign Direct Investment because of the reason, it leads to rise in the cost of inputs in the domestic market and fall in the purchasing power of the foreign currency.





INFLATION ... ITS CONSEQUENCES



- 7 Rapid rise in prices hinders the process of the growth as it raises the cost of production.



- 8 Inflation adversely affects the savings on the part of the people as they have to pay higher prices. Real rate of return will be reduced and senior citizens will be worst affected.





INFLATION ... ITS CONSEQUENCES



9 With reduced savings, capital formation undergoes a serious setback.

10 Inflation effects poor much more than the effect on the rich.





MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

1. FISCAL MEASURES



MINISTRY OF
FINANCE

PUBLIC REVENUES

- The Government raises the rate of the direct taxes
- Hence, it reduces the purchasing power of the rich people and hence it reduces aggregate demand

PUBLIC EXPENDITURE

- Inflation is controlled by decreasing the public expenditure by the governments



MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

2. MONETARY POLICY



BANK RATE POLICY

- Repo rate
- Reverse repo rate
- Marginal standing facility
- Bank rate

In times of inflation, RBI raises repo rate

VARIABLE RESERVE RATIOS

- CRR
- SLR

In times of inflation, RBI raises CRR /SLR

OPEN MARKET OPERATIONS

- It is buying and selling of government securities in the open market by RBI

In times of inflation, RBI sells government securities and hence sucks money circulation



MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

3. PRICE POLICY

PRICE CONTROL OF ESSENTIAL GOODS

- Prices of certain essential goods are controlled with a view to ensure their availability to all the sections of society. The recent case is the price control mechanism with regard to the price of onions, pulses in open market



PROCUREMENT AND SUPPORT PRICE

- Government procures essential commodities, especially food grains at the price fixed by the government and distributes them through Public Distribution System. Govt. recently resorted to in case of pulses also.





MEASURES BY THE GOVERNMENT TO CONTROL INFLATION

LONG TERM MEASURES

REDUCING
CORRUPTION AND
LETHARGY



IMPROVING
TRANSPARENCY
THROUGH ICT &
DIGITAL
PAYMENTS



CREATING
WORLD-CLASS
INFRASTRUCTURE



OVERHAULING
LABOUR LAWS,
LAND LAWS,
CREATING WORLD-
CLASS LOGISTICS
INFRASTRUCTURE



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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

D. Sunil Kumar

V. Dayakar James

Y. Sri Poojita

G. Ravi Babu

D. Joji

K. Victor Babu

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